KEEP YOUR OWN BOOKS



A Practical Guide to Organize, Track and Manage Your Financial Records

THE VELVET FOUNDRY
Knowledge, Refined.

Free sample

KEEP YOUR OWN BOOKS
Bookkeeping for freelancers and sole traders: a one-hour monthly routine

This sample contains the contents, the opening of the book and one full chapter ("Chapter 8. The bank reconciliation"), exactly as they appear in the full book. The full book has 88 pages. Page numbers in the contents refer to the full book.

Get the full book:

https://thevelvetfoundry.gumroad.com/l/keep-your-own-books

Contains no tax rates, thresholds or filing rules, by design. Not accounting, tax or legal advice.

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How to use this book

You have started working for yourself, and at some point somebody said the words "keep your books". Nobody explained what that meant. You now have a bank account with business money in it, a folder of receipts, possibly a spreadsheet you started and abandoned, and a quiet worry that you are doing something wrong.

This book fixes that worry by teaching you one system. Not software. A system — the same system every accountant in the world uses, which is centuries old, has five moving parts, and can be learned in an afternoon by anyone who can add.

By the end you will be able to record any transaction your business can produce, prove your records against your bank statement, close a month in about an hour, and read your own profit and loss and balance sheet without anyone translating them for you.

Read it in this order

Chapters 1 to 4 are the foundation and they are not optional. They are short, and everything after them depends on them. If you skip to the month-end routine because that is the bit you think you need, the routine will look like arbitrary ritual instead of the obvious consequence of how the system works.

Chapters 5 to 9 are the daily work: money in, money out, the two things that confuse everyone — when a transaction actually counts, and what happens when you take money out of your own business — and checking your records against the bank.

Chapters 10 to 13 are the monthly and yearly rhythm: mixed spending, the month-end close, and reading your two statements. Chapter 14 puts everything together in one worked month. Chapters 15 and 16 are about other people: your accountant, your records, and the point at which you should hand this over.

Work through it once with your own bank statement open. Reading it without doing it will feel like it worked and will not stick.

What you need

Your business bank statements. Whatever record you have now, however bad. Something to record in — a spreadsheet is entirely adequate for a one-person business and this book does not require you to buy software. If you already use bookkeeping software, everything here still applies; the software is doing exactly these steps behind a friendlier screen, and understanding them is how you stop being at its mercy.

One promise and one warning

The promise: there is nothing conceptually hard in here. Bookkeeping has a reputation for difficulty that it does not deserve. It is fiddly, it rewards consistency, and it punishes being left for three months, but it is not clever.

The warning: this book teaches you to keep records. It does not tell you what tax you owe. Those are two genuinely different jobs, and the next chapter explains why mixing them up is the most expensive mistake in this whole subject.

What this book does not do

Read this chapter. It is short, and it is here for your protection.

This book does not give tax advice, and it contains no tax rules. You will not find a single tax rate, threshold, allowance, deadline or filing instruction in these pages. That is deliberate, and it is not laziness.

Tax rules are specific to your country, often to your state or region, frequently to your particular trade, and they change. A book that told you "the threshold is X" would be wrong for most readers on the day it was published and wrong for all of them within a few years. Worse, it would be wrong in a way that looked authoritative.

So this book teaches the part that does not change and is the same everywhere: how to record what happened. Bookkeeping is the discipline of producing a true record of your business's transactions. Tax is the separate question of what you owe a government based on that record. You need the record before anyone — you, your accountant, your tax authority — can answer the tax question at all.

Put plainly: this book gets your records right. Your tax rules come from your own tax authority or a qualified professional in your jurisdiction. If this book saves you money, it will be because your records were good enough that a professional spent their time on your actual situation instead of reconstructing your year from a carrier bag.

What else is out of scope. Payroll, if you employ people, is a specialist subject with legal obligations attached and it is not covered here. Nor is sales tax or VAT mechanics, which depend entirely on your jurisdiction and your registration status. Nor are company accounts if you run an incorporated company with filing obligations — that book has a different reader. This book assumes you are a sole trader, a freelancer, an independent contractor or a very small single-owner business doing your own books.

Where to get the rules that do apply to you. Your national tax authority publishes guidance for small businesses, free, and it is written for your situation specifically. An accountant or licensed tax professional in your jurisdiction can tell you which rules you fall under. A professional body in your country can usually refer you to one. None of those are expensive compared with getting it wrong, and all of them work better when you arrive with the records this book teaches you to keep.

One honest limitation. Because this book avoids jurisdiction, it cannot tell you which of two permitted methods your tax authority requires you to use. Chapter 7 explains cash basis and accrual, and what each one means; which one you are allowed or required to use is a question for your own authority. The book flags every such point rather than quietly guessing.

CHAPTER 1

What bookkeeping actually is

Bookkeeping is the practice of writing down every movement of money and value through your business, in a way that lets you prove it later and summarise it on demand.

That is the whole job. Not judgement, not forecasting, not advice. A record.

Why anyone bothers

Three reasons, in the order they will matter to you.

So you can be paid and can pay. You need to know who owes you money and how long they have owed it. Businesses that fail rarely fail because they were unprofitable on paper; they fail because they ran out of cash while waiting to be paid, and did not see it coming.

So you can answer questions about the past. What did I earn last year? Is this month better than the same month last year? Which of my clients is actually worth the trouble? None of these are answerable from memory, and all of them are answerable in seconds from decent records.

So someone else can check it. A tax authority, a lender, a buyer, an accountant. The test of bookkeeping is not whether it looks tidy. It is whether a stranger can follow a number in your summary back to the

event that caused it, and find the evidence. That is the standard this book holds you to, and it has a name: an audit trail.

The method behind the method

Here is the idea the whole system rests on, and it is worth reading twice.

Every transaction a business can make does two things at once. Nothing happens on its own.

You invoice a client for 500. Your sales have gone up by 500, and the amount owed to you has gone up by 500. Two things.

The client pays. The amount owed to you goes down by 500, and your bank balance goes up by 500. Two things again.

You buy a laptop for 900. Your bank balance goes down by 900, and you now own a 900 asset. Two things.

This is not a convention somebody invented to make life hard. It is a description of reality. Money never evaporates; it moves from one place to another, or it turns into something. Bookkeeping records both halves of every movement, which is why it is called double entry, and why it can catch its own mistakes. If you only ever wrote down one half, nothing would ever check against anything.

What a transaction needs to be worth recording

Four things, every time. Miss one and you will be guessing about it in eleven months.

A date. The date the thing happened, which is often not the date you got round to typing it in.

An amount. In the currency you keep your books in. If you were paid in another currency, record what actually landed in your account and note the original.

A description that will mean something to a stranger. "Payment" is useless. "Invoice 014 — Henderson — website copy" is evidence.

Which accounts it affects. Both halves. This is what chapters 3 and 4 are about, and it is the only part that takes any practice.

And one more thing, which is not part of the entry but must exist beside it: the document. The invoice, the receipt, the contract, the bank statement line. The entry is your claim about what happened. The document is the proof.

The one rule that makes all of this easier

Open a separate bank account for the business, and run everything through it.

If you do nothing else in this book, do that. Much of the bookkeeping misery described in this book traces back to one bank account doing double duty for a life and a business. It is not a legal technicality, it is not about looking professional, and for a sole trader in most places it is not even required. It is simply the difference between a month-end that takes an hour and a month-end that takes a weekend and still ends in doubt.

Chapter 10 deals with untangling mixed spending, because most readers arrive having already mixed it. But it is a chapter about repairing damage, and you can skip it entirely by opening an account this week.

When it goes wrong

"I have six months of nothing." Normal, and recoverable. Do not start by trying to fix it. Start recording from today forward so the hole stops getting bigger, then work backwards one month at a time from your bank statements, oldest hole last. A year of gaps closed at one month a week is done in three months, and you will be fast by the end.

"I do not know what some of these old transactions were." Record them honestly as unidentified rather than inventing a plausible description. A record that says "unknown, 240, no document" is worth more than a confident fiction, because it tells the truth about what you know. Then look for the document. Your bank may be able to tell you the merchant.

"My records and my bank do not agree." That is expected and it is the system working. Chapter 8 is entirely about finding the difference, and it lists the usual causes.

Checklist

- One bank account used only for the business, with nothing personal in it.
- Every transaction has a date, an amount, a description a stranger could follow, and both halves.
- Every entry has a document stored somewhere you can find it by date.
- Nothing is invented. Unknown is recorded as unknown.
- You can pick any number in any summary and walk it back to the event that caused it.

CHAPTER 8

The bank reconciliation

This is the most valuable hour in bookkeeping. It is the step that turns your records from a claim into something verified, and it is the step most often skipped.

What it is

You compare your own bank account record, line by line, against the statement the bank sends. Every line should appear in both. Where they differ, you find out why.

That is it. The power is in what it catches: transactions you forgot, duplicates, typed amounts, charges you did not know about, and — occasionally — money leaving your account that you did not authorise.

Doing it

Once a month, as soon as the statement is available.

1. Start from a known-good point. The closing balance of the last reconciliation you completed. The first time, use your opening balance when you started these records.

2. Tick off matching lines. Go down the statement. For each line, find it in your books and mark both. A column in your spreadsheet headed "reconciled" with the statement date in it works perfectly.

3. Deal with what is left. When you reach the end you have three piles.

On the statement, not in your books. Something happened that you did not record. Bank charges, interest, a direct debit, a card payment you forgot. Record it now — it is real, the bank is the evidence.

In your books, not on the statement. Usually timing: a cheque not yet cleared, a payment made on the last day. Legitimately outstanding, and it should appear on next month's statement. If it is still unmatched two months later, investigate — it may never have happened.

In both, but different. A typed amount, or a payment that was taken for a different sum than agreed. Correct your books if you typed it wrong. Query it with the bank or supplier if they took the wrong amount.

4. Prove it. Your book balance, adjusted for the genuinely outstanding items, must equal the statement's closing balance. Write that calculation down and keep it. It is your evidence that the month was checked.

The arithmetic that proves it

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Balance per bank statement
plus  deposits recorded, not yet cleared
minus payments recorded, not yet cleared
=     balance per your books
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When those two sides agree, the month is reconciled. When they do not, the difference is the amount you are looking for, and knowing the exact figure is most of the work — see the troubleshooting below.



Figure 3. The three piles of unmatched items and the proving calculation.

Do the same for every account

Not just the current account. The credit card, the savings account, the payment processor that holds your money for a few days, any account with money in it. Each one gets the same treatment against its own statement.

Payment processors are the ones people neglect, and they are where money quietly goes missing in fees nobody looked at. If a platform takes its cut before paying you, your reconciliation is the only place you will ever notice how much.

Why monthly, not yearly

Three reasons, all practical.

An error found within a month is a five-minute fix with the context still in your head. The same error found in March of the following year is an afternoon of archaeology.

Unauthorised transactions often have time limits for disputes. Finding a fraudulent charge eleven months late may mean you simply absorb it.

And a reconciled month is a month you never have to think about again. The real cost of unreconciled books is not the error rate; it is that nothing is ever finished.

When it goes wrong

"The difference is divisible by nine." Almost certainly two digits swapped: 540 typed as 450, or 1,278 as 1,728. Scan for amounts with the right digits in the wrong order.

"The difference is exactly twice a transaction I can see." You recorded it on the wrong side, so it is out by double. Or you recorded it twice.

"The difference is exactly a round number I recognise." Look for a transaction of exactly that amount missing entirely. The brain tends to skip the familiar.

"I cannot find it at all." Narrow by halves. Reconcile only the first half of the month; if that balances, the error is in the second half. Repeat. Four rounds will localise almost any error, and it beats re-reading the whole month a fifth time.

"There are old uncleared items from months ago." A payment that never cleared may never have happened — a cheque lost, a transfer rejected. After two months, chase it. Do not carry phantom outstanding items forever; they hide real differences behind fake ones.

"The bank made a mistake." It happens, and it is rare. Report it, record what you believe is correct, and note the dispute in your records so next month's reconciliation does not fail mysteriously.

Checklist

- Every account with money in it is reconciled every month against its own statement.
- The proving calculation is written down and kept with the month.
- Nothing on the statement is missing from your books.
- Items outstanding more than two months have been chased rather than carried.
- Processor fees have been seen, recorded, and are visible as an expense.